

## U.P. Power Corporation Limited Thru' Executive Engineer v. Electricity Ombudsman & Ors. (M/S Suresh Automobiles)

Allahabad High Court (Lucknow Bench) · Division Bench · 23 September 2010 · Special Appeal (Defective) No. 547 of 2010 · **Preliminary objection to maintainability of the Special Appeal overruled; appeal held maintainable and to be listed for hearing on merits**

### HEADNOTE

The Electricity Ombudsman, constituted under Section 42(6) of the Electricity Act, 2003 and the U.P. Electricity Regulatory Commission (Consumer Grievance Redressal Forum & Electricity Ombudsman) Regulations, 2007, is neither an 'Appellate Authority' exercising appellate/revisional jurisdiction nor a 'Tribunal,' and consequently an order of a Single Judge disposing of a writ petition against the Ombudsman's award is not barred from Special Appeal under Rule 5, Chapter VIII of the Allahabad High Court Rules, 1952 (which excludes appeals from orders passed in the exercise of appellate/revisional jurisdiction over a tribunal, or in the exercise of Article 226/227 superintendence over a tribunal). Although Regulation 8.1 of the 2007 Regulations styles a consumer's or licensee's approach to the Ombudsman as a 'representation' against a Forum decision, and although the Ombudsman must pass a reasoned order/award after hearing the parties, the Ombudsman's function is that of an alternative dispute-resolution mechanism (facilitating settlement through conciliation/mediation, or passing an award) rather than a hierarchical appellate review, since (a) the Regulations expressly permit either party, aggrieved by the Ombudsman's award, to approach 'any Court or Tribunal having jurisdiction' (Regulation 12.8) — meaning there is no finality or defined superior-inferior court relationship of the kind that defines an 'appeal' (*Shiv Shakti Cooperative Housing Society v. Swaraj Developers*; *Tirupati Balaji Developers v. State of Bihar*) — and (b) the Ombudsman lacks the coercive/judicial 'trappings of a Court' (power to compel witness attendance and examine on oath, public sittings, binding finality, power to impose fines/damages) that would qualify it as a 'Tribunal' invested with the State's inherent judicial power (*Union of India v. R. Gandhi*, President, Madras Bar Association; *Committee of Management v. Regional Deputy Director of Education, Agra*).

### HOLDING-UNITS

#### HOLDING-UNIT · EA2003::42(6)

The Electricity Ombudsman under s.42(6) of the Electricity Act, 2003 is neither an Appellate Authority exercising appellate/revisional jurisdiction nor a Tribunal invested with the State's inherent judicial power, but an alternative dispute-resolution/quasi-judicial authority whose awards lack finality (either party may approach any Court or Tribunal of competent jurisdiction), such that Special Appeal against a Single Judge's writ-petition order concerning the Ombudsman's award is not barred by the Rule 5, Chapter VIII exclusion (which applies only to appellate/revisional orders over a tribunal, or Article 226/227 superintendence over a tribunal)

#### QUESTION

Is a Special Appeal under Rule 5, Chapter VIII of the Allahabad High Court Rules, 1952, against a Single Judge's order disposing of a writ petition challenging an Electricity Ombudsman award, barred on the ground that the Ombudsman exercises appellate/revisional jurisdiction (over the Consumer Grievance Redressal Forum) or is a Tribunal (over which the Single Judge exercised Article 227 superintendence)?

#### HOLDING

No, the Special Appeal is maintainable. On the 'Appellate Authority' question: though a party's approach to the Ombudsman under Regulation 8.1 is loosely termed a 'representation' against the Forum's decision, and the Ombudsman must pass a reasoned order under Regulation 11(b) (facilitating settlement by agreement, conciliation, mediation, or passing an award), Regulation 12.8 expressly permits either party, aggrieved by the Ombudsman's decision, to approach 'any Court or Tribunal having jurisdiction' — meaning there is no hierarchical finality of the kind that defines an 'appeal' (per *Shiv Shakti Cooperative Housing Society v. Swaraj Developers*, *Tirupati Balaji Developers v. State of Bihar*, and *Snehadeep Structures v. Maharashtra SSIDC*: an appeal requires removal of a cause from an inferior to a superior forum with corrective, binding authority). The Ombudsman is accordingly not an Appellate Authority. On the 'Tribunal' question: applying the features enumerated in *Union of India v. R. Gandhi*, President, Madras Bar Association, and the 'trappings of a Court' test (*Committee of Management v. Regional Deputy Director of Education, Agra*), the Ombudsman lacks power to compel witness attendance and examine on oath, does not sit in public, and its award (an

alternative-dispute-resolution outcome akin to a private conciliation/mediation, not an Arbitration and Conciliation Act award) carries no finality. It is accordingly not a Tribunal, and the Single Judge, in deciding the writ petition, did not exercise Article 227 superintendence over a Tribunal. Rule 5's exclusion is therefore inapplicable, and the Special Appeal is maintainable. ¶ paras 2-15

LIMITING FACTS

Respondent no. 3's petition before the Consumer Grievance Redressal Forum (seeking interim relief regarding a billing dispute over the difference between main-meter and check-meter KVAH readings) was dismissed; on representation to the Electricity Ombudsman, the Ombudsman held the consumer not liable for the meter-reading difference and directed billing per the specified main meters; the licensee's writ petition against the Ombudsman's award was dismissed by a Single Judge (2008), and a subsequent review petition and recall application also failed; the licensee then filed this Special Appeal against all three orders, met with a preliminary maintainability objection.

PRINCIPLE TAGS

**electricity-ombudsman-not-appellate-authority-nor-tribunal** Establishes the Electricity Ombudsman's institutional character under s.42(6) as an ADR/quasi-judicial grievance-redressal mechanism, not an Appellate Authority or Tribunal, given the absence of finality (Regulation 12.8's 'any Court or Tribunal' access) and the absence of judicial 'trappings of a Court' — significant for characterising the Ombudsman's role and for procedural questions (appealability, superintendence) arising from Ombudsman awards throughout this corpus's Ombudsman-related cases (e.g. SCJ-128's Electricity Ombudsman appeal background). Lead authorities: *Union of India v. R. Gandhi, President, Madras Bar Association, Shiv Shakti Cooperative Housing Society v. Swaraj Developers* [213017]. ¶ paras 10-15

NOT DECIDED — NEGATIVE AUTHORITY

**NOT DECIDED — MERITS OF THE UNDERLYING BILLING DISPUTE (MAIN-METER VS. CHECK-METER KVAH DIFFERENCE)**  
Not reached; the appeal was directed to be listed before the appropriate Bench for hearing on merits. ¶ para 16

TABLE OF AUTHORITIES

| AUTHORITY                                                                                                                                                                     | PROPOSITION                                                                                                                                                                                                                                                                                        | HOW TREATED                                                                      | CITED BY | TREATMENT |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|----------|-----------|
| <i>Shiv Shakti Cooperative Housing Society v. Swaraj Developers</i> (2003) 6 SCC 659 [213017] Supreme Court                                                                   | An 'appeal' is the removal of a cause from an inferior to a superior court/tribunal for review, requiring the relation of superior and inferior court and the power to review the lower forum's decision.                                                                                          | Followed as the definitional touchstone for what constitutes an 'appeal'.        | Court    | Followed  |
| <i>Tirupati Balaji Developers (P) Ltd. v. State of Bihar</i> (2004) 5 SCC 1 [1615098] Supreme Court                                                                           | Appeal implies removal of a cause to a superior forum having jurisdiction to reverse, confirm, annul or modify the lower forum's decree/order, with corrective directions binding on the forum below.                                                                                              | Followed.                                                                        | Court    | Followed  |
| <i>Union of India v. R. Gandhi, President, Madras Bar Association</i> JT 2010 (5) SC 553 Supreme Court                                                                        | Enumerates the distinguishing features of Courts versus Tribunals: Tribunals are statutorily created to adjudicate disputes of a specified nature and may combine judicial and technical members, unlike Courts which are exclusively manned by Judges and governed by CPC/Evidence Act procedure. | Applied to determine that the Ombudsman lacks Tribunal characteristics.          | Court    | Followed  |
| <i>Committee of Management &amp; Anr. v. Regional Deputy Director of Education, Agra &amp; Ors.</i> 2005 (23) LCD 441 [862861] Allahabad High Court (Full Bench, five Judges) | An authority lacking power to compel witness attendance/examine on oath, not sitting in public, and whose decisions carry no finality, does not act as a Tribunal notwithstanding its adjudicatory function.                                                                                       | Followed as directly analogous, applied to hold the Ombudsman is not a Tribunal. | Court    | Followed  |

| AUTHORITY                                                                                                                                    | PROPOSITION                                                                                                                                                                                            | HOW TREATED                                  | CITED BY | TREATMENT |
|----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|----------|-----------|
| <i>Snehadeep Structures Pvt. Ltd. v. Maharashtra Small-Scale Industries Development Corporation Ltd.</i><br>(2010) 3 SCC 34<br>Supreme Court | Almost all definitions of 'appeal' involve removal of a cause from an inferior to a superior court; an arbitrator deriving authority from private agreement does not fit the ordinary court hierarchy. | Followed.                                    | Court    | Followed  |
| <i>Shankar Ramchandra Abhyankar v. Krishnaji Dattatraya Bapat</i><br>(1970) 1 SCR 322<br>[836690]<br>Supreme Court                           | The expression 'appeal', used in the context of revisional jurisdiction, is one mode of exercising a statutorily conferred power.                                                                      | Cited in the survey of 'appeal' definitions. | Court    | Cited     |

SCJ-138 · U.P. Power Corporation Limited Thru' Executive Engineer v. Electricity Ombudsman & Ors. (M/S Suresh Automobiles) · · Supply Code Jurisprudence

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